

3. How to customise your FD?

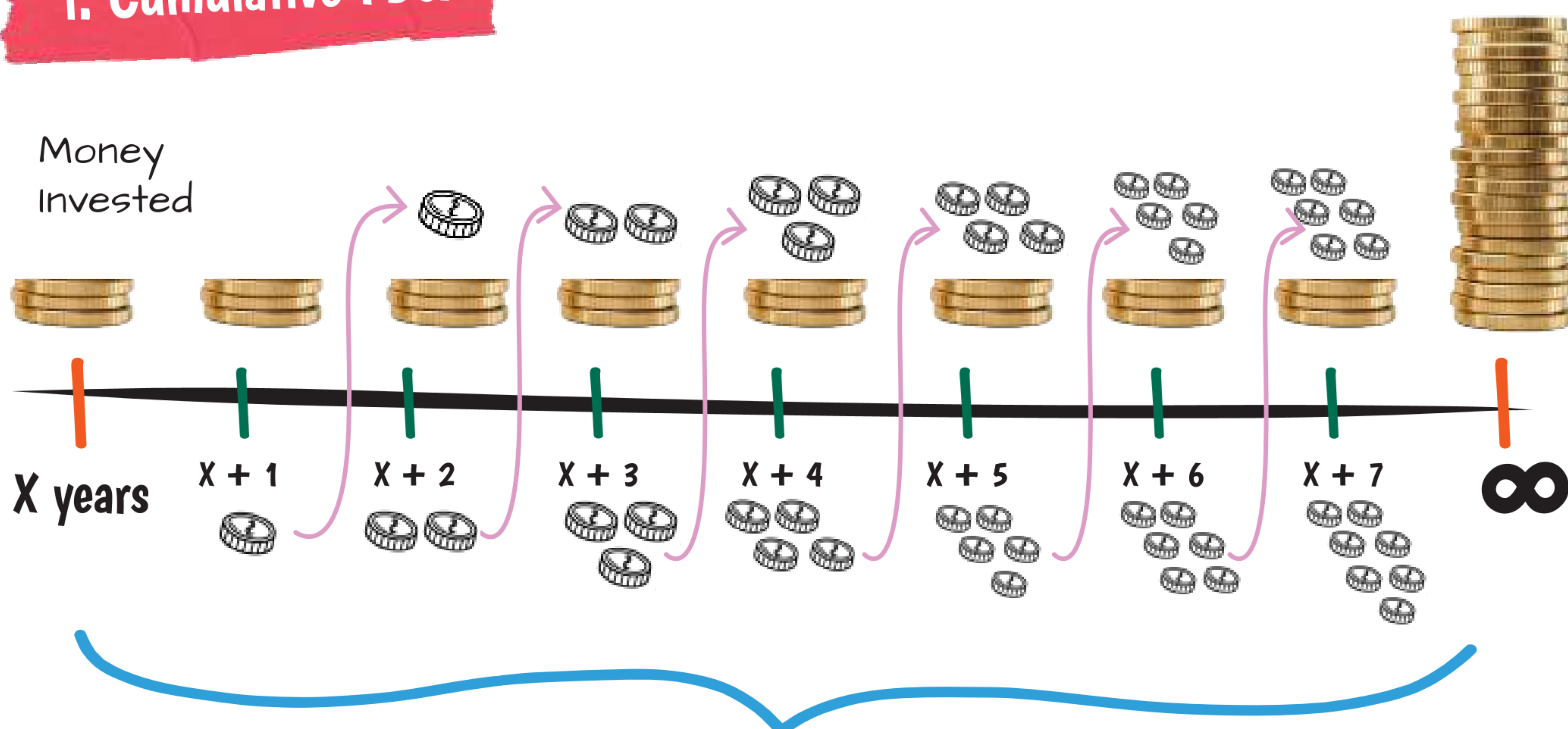
Now there are a few things you can do while booking your FD to customize it according to your needs.

One obvious way to customize your FD is to choose the tenure of your FD. Another way that you can customize is to choose whether you want to reinvest the interest or receive an interest amount periodically in your bank A/c.

Interest Payout Option:

You can decide how you want to receive the interest you earn on your FD:

i. Cumulative FDs:



Interest earned throughout the duration

This choice means you'll get the interest and the principal (the initial amount you deposited) all in one lump sum at the end of your FD's term.

The cumulative FD option is suitable for those who do not need a regular stream of income and want to get higher returns. This is because in cumulative FDs your interest gets reinvested in the FD itself and you receive interest on that as well making the actual total return you earn higher than the rate you book your FD!